KT

"The Value Networking Company"

February 2004

Disclaimer

This presentation has been prepared by KT Corp. ("the Company"). This presentation contains forward-looking statements, which are subject to risks, uncertainties, and assumptions. This presentation is being presented solely for your information and is subject to change without notice. No representation or warranty, expressed or implied, is made and no reliance should be placed on the accuracy, actuality, fairness, or completeness of the information presented. The Company, its affiliates or representatives accept no liability whatsoever for any losses arising from any information contained in the presentation.

This presentation does not constitute an offer or invitation to purchase or subscribe for any shares of the Company, and no part of this presentation shall form the Basis of or be relied upon in connection with any contract or commitment. Any decision to purchase shares of the Company should be made solely on the Basis of information, which has been publicly filed with the Securities and Exchange Commission or the Korea Stock Exchange and distributed to all investors.

The contents of this presentation may not be reproduced, redistributed or passed on, directly or indirectly, to any other person or published, in whole or in part, for any purpose.

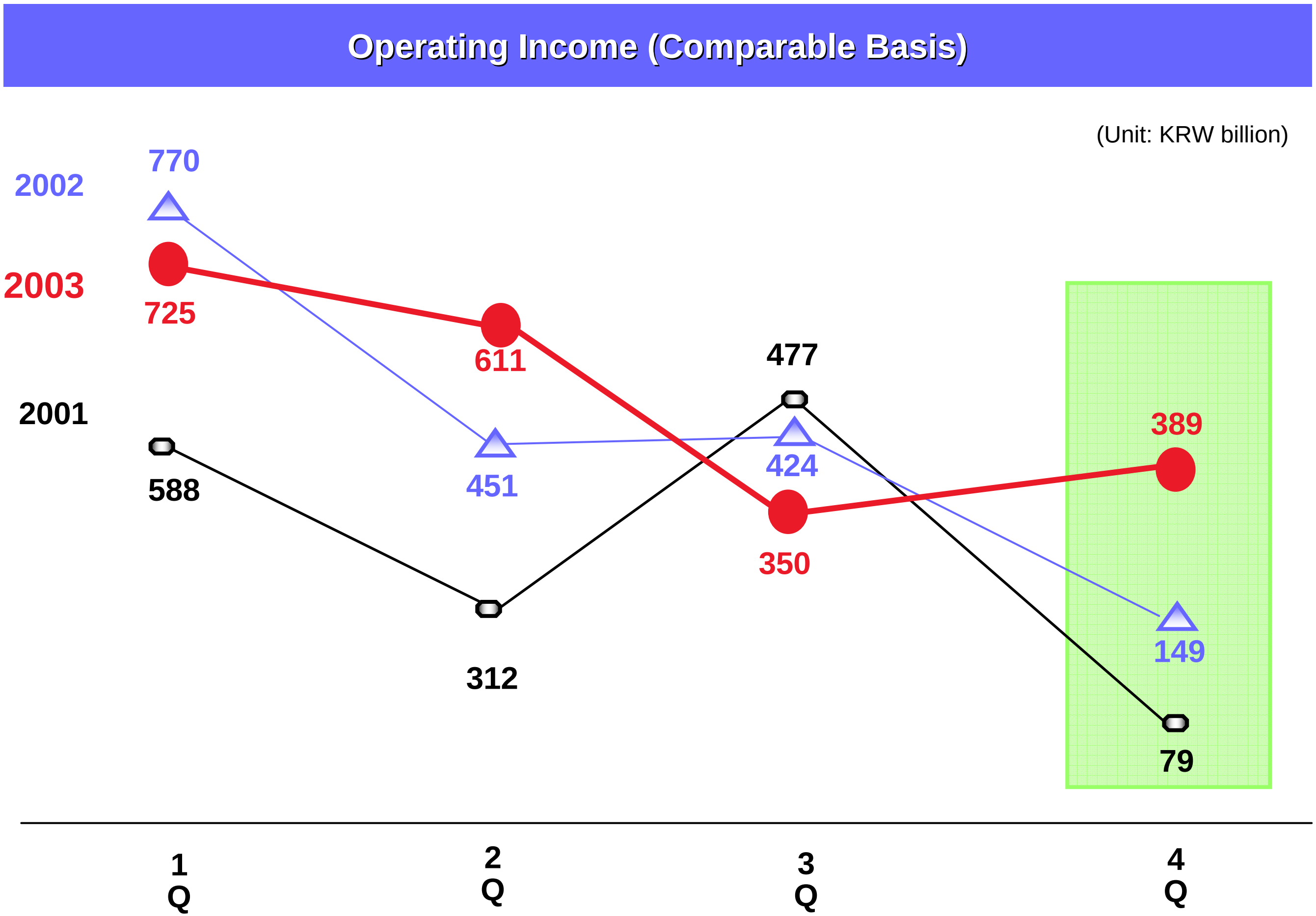
I. Financial Highlights

2003 Operating Highlights

(Unit: KRW billion, Subscriber million)	2002	2003	Change (%)
Revenue*	11,377.6	11,574.5	+1.7%
OP (Margin) **	1,794.0 (15.8%)	2,074.6 (17.9%)	+15.6%
OP (Margin)		1,243.1 (10.7%)	-30.7%
EBITDA (Margin)**	4,431.0 (38.9%)	4,521.4 (39.1%)	+2.0%
EBITDA (Margin)		3,689.9 (31.9%)	-16.7%
Labor / Revenue**	23.7%	21.6%	-2.1%p
CAPEX / Revenue	18.9%	18.0%	-0.9%p
Broadband Subscribers	4.92	5.58	+0.66
Wi-Fi Subscribers	0.11	0.36	+0.25
PCS Resale Subscribers	1.42	1.56	+0.14

* *Net revenue basis*
** *Excluding ERP effect*

Improving Quarterly Fluctuation



Dividend Plans

	2003	2004	2005
Total return to shareholders	KRW 625 billion	Min. KRW 650 billion	Increase in line with profit improvement
Regular Dividend*	KRW 860 / share	KRW 2,000 / share	Quarterly dividend in review
Additional	3% Share buyback & cancellation	Interim Dividend Or Share Buyback & Cancellation	

* Payment year basis

2004 Key Targets

(Unit: KRW trillion, Subscriber million)	2003	2004 Target	Change
Revenue	11.57	11.60	+0.2%
OP Margin	18% *	20%	+2%p
EBITDA Margin	39% *	40%	+1%p
FCF	1.3	1.7	+31%
Labor / Revenue	22% *	20%	-2%p
CAPEX / Revenue	18%	17%	-1%p
Broadband Subscribers	5.58	5.83	+0.25
Wi-Fi Subscribers	0.36	0.56	+0.20
PCS Resale Subscribers	1.56	1.81	+0.25

* *Excluding ERP effect*

Focus for 2004: Cultivate Growth

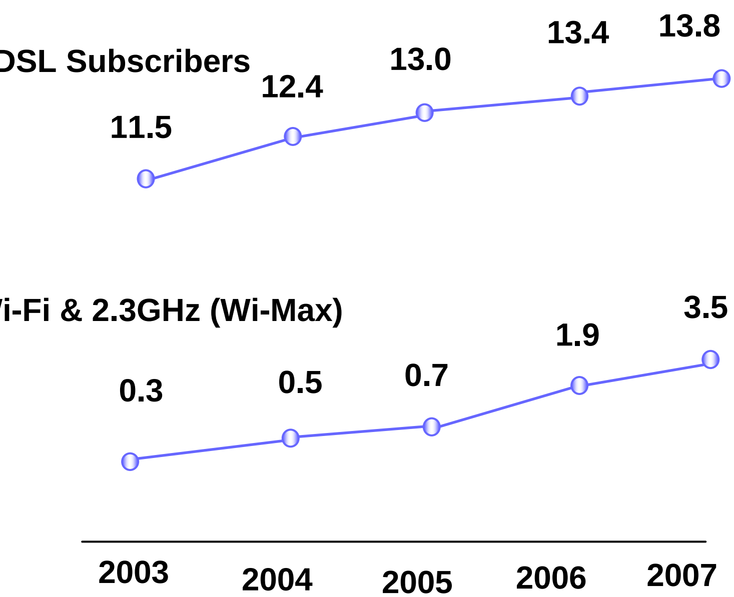
- **Enhance broadband as long-term growth engine**
- **Expand wireless service with Wi-Fi & One Phone**
- **Prepare for 2.3GHz(Wi-Max) license**
- **Minimize fixed-line market share loss**
- **Minimize and leverage regulation changes**

II. Business Discussion

Broadband Growth Will Continue

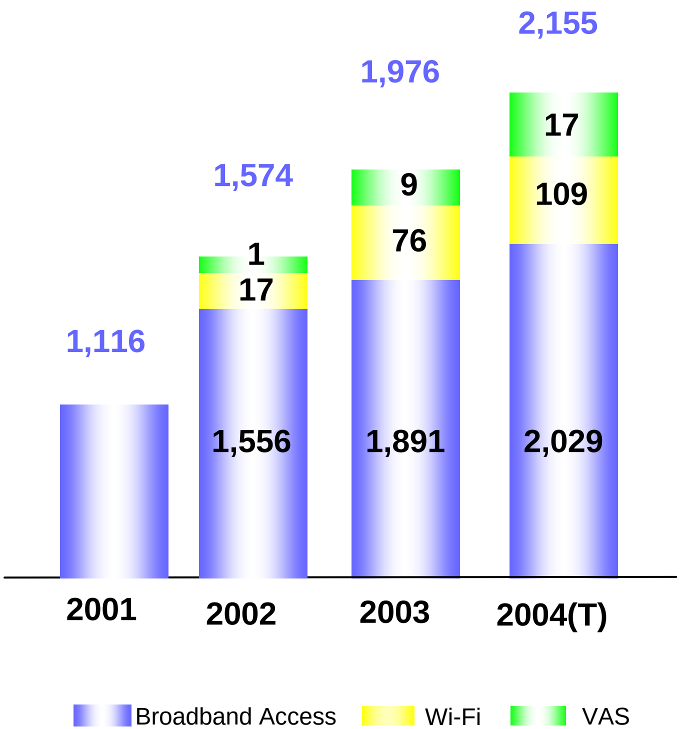
Market Outlook

(Unit: Million)

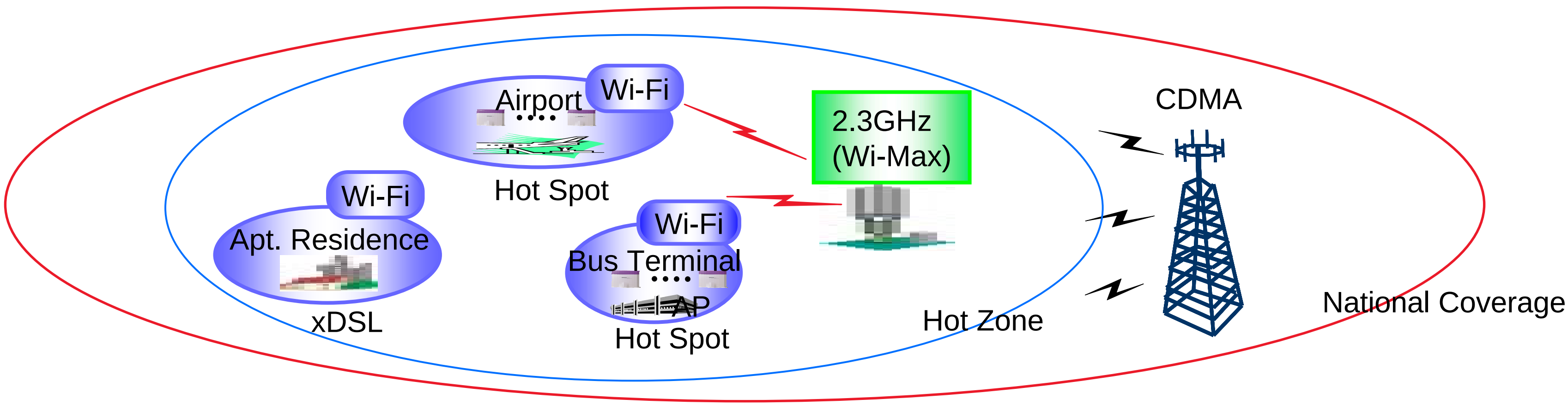


Broadband Revenue

(Unit: KRW billion)



Broadband into Wireless



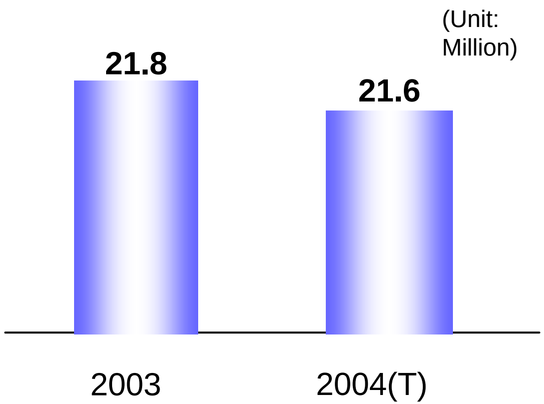
1999 xDSL Launch → **2002** Wi-Fi Launch → **2003-2004** Wi-Fi Enhancement → **2005** 2.3GHz(Wi-Max) Launch

2004 Plan

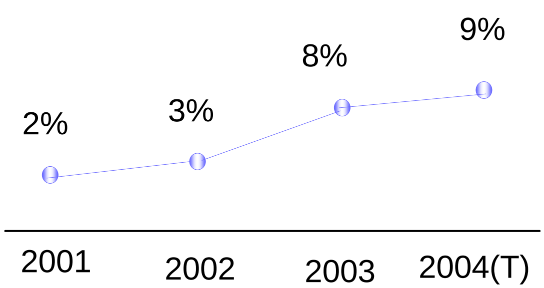
- **Increase Subscribers**
  - Co-marketing with Samsung, Intel and Sony
  - CDMA + Wi-Fi (Nespot Swing) in one handset
    - PDA, Smart Phone
    - 10% discount benefit
- **Increase Coverage of Hotspots**
  - Achieve Hot Spots within 3 minutes walking distance in metropolitan areas
  - 23,000 Hot Spots (vs. 12,000 in 2003)
- **Prepare for 2.3GHz (Wi-Max) license**

Locking In Fixed Voice Revenue

Fixed-line Service Subscriber



VAS Revenue as % of Fixed Line Revenue



- **Minimize market share loss to Max. 2% against FNP**

Service Areas	Total Market	No. of subs switched
17 cities	5.63 million	16,860 (0.3% of total market)
21 cities (Seoul from Aug. 2004)	15.8 million	Estimated less than 2% of total market

- **Counter measure for revenue decline - VAS (Value Added Services)**

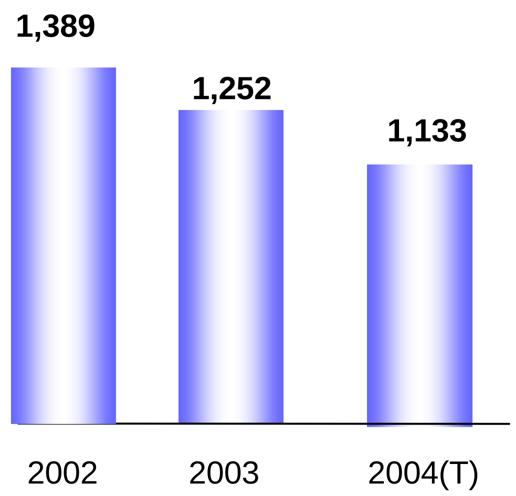
Service	Price (KRW)	Status
CID	1,500/month	15% of total subs
English Learning Call	35,000/month	
KT-Move	-	1Q launch
Personalized Ring-back Tone	-	2Q launch

- **Change price structure (Upon government approval)**

Minimize loss of Leased-line Market

Leased-line Revenue

(Unit: KRW billion)



- **SKT, LGT switching it to affiliates - SK Networks, Powercom**
- **Substitution by Metro Ethernet, VPN, Satellite Data**

2004 Plan

- **Reduce leased-line tariff for speeds above 45M**
- **Offer diverse speeds using Ethernet (10/20/100M)**
- **Increase revenue from alternatives to capture declining leased-line revenue**

	Total (KRW billion)	Metro Ethernet	VPN	Satellite Data
2003 Revenue	128	80	39	9
2002 Revenue	68	37	29	2
Change	60	43	10	7

One Phone–Regain Mobile Substitution

Fixed-line traffic substitution to Mobile

BT	December 2003
Verizon	June 2003
Viag	July 1999
MMO2	June 2003
China Telecom	December 2003

2004 KT Focus

- **Service Schedule**
  - Handset development completed
  - Pilot: March or April 2004
  - Commercial launch: June 2004
    (Assuming MIC approval in May)

- **Subscriber Target : 70,000**

- **Tariff Structure**
  - Voice at home: Fixed-line (KRW 39 / 3 min)
  - Outside: CDMA

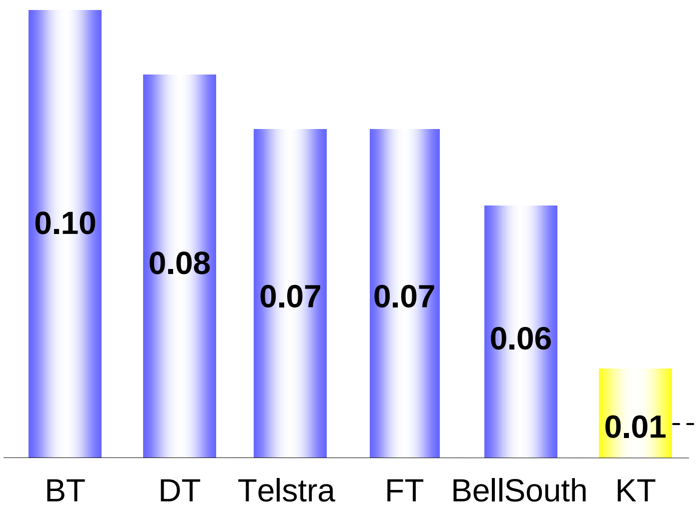
- **Co-work with KTF : Increase KTF net addition**

III. Regulatory & Other Issues

LM Regulation Dynamics

Local Rate Comparison

(Unit: US$/min)



Cost Coverage Ratio of Local in 2002	**92%**
Cost Coverage Ratio of Local, including LM	**102%**

LM Tariff Cut Issue

- MIC to announce LM interconnection rates for 04 and 05 in 1H2004
- LM margin would be maintained to make-up local loss
- Expect marginal change in LM tariff (LM 89/min vs. DLD 87/min)

(Unit: KRW / min)	2002	2003
LM Tariff	**94**	**89**
Interconnection	**50**	**45**
LM Retention	44	44

LM Market Opening Issue

- MIC to complete the review of issues by the end of 2004
- Related issues
  - 100% USO compensation (vs. current 70%)
  - ML market should be opened as well
  - Local tariff should be rebalanced

USO Compensation System

(Unit: KRW billion)

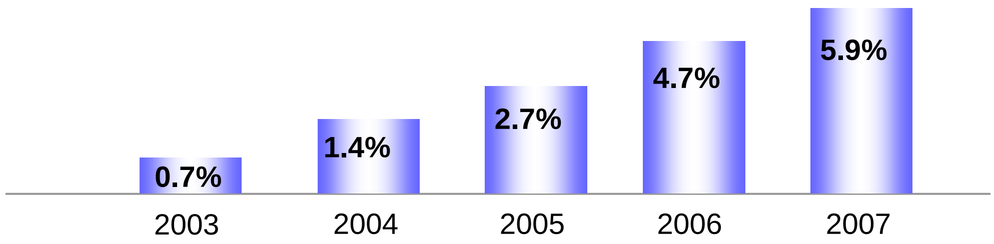
	2001	2002	2003	Future
Total USO Loss	551	469	469 (E)	USO compensation rate will increase to 100% if LRIC (Long Run Incremental Cost) is introduced
Rate of Compensation	Avg. 16%	Avg. 50%	Avg. 70%	
Total Compensation	76	219	87(E)	
Compensation received	50	147	58(E)	

- **Starting from 2002, MIC changed rules to include loss of local in rural areas even if overall local business including LM retention is profitable**

- **MIC changed rule to exclude loss of local in rural areas if overall local business including LM retention is profitable**
- **Pre-compensation guideline for 2003 is announced by MIC**
- **It may increase after cost review to be completed in August 2004**

VoIP: Threat & Opportunity

VoIP Substitution Outlook



Source: MIC, IDC Korea 2003

Usage Tariffs

KT Tariff (KRW/min)		VoIP for Corp.	Fixed-line
Local		13	13
DLD	Within 30km		13
	Over 30km		87
LM		78	89
ILD (USA)		85	288
Homepage Phone		15	-
Search Phone		15	-

Revenue in Risk

(Unit: KRW billion)

	2003
Local	2,701
DLD Within 30km & Interconnection	500
Over 30km	440
LM	2,149
ILD	291
VoIP	9

Regulatory Changes in 2004

- Classify as Basic Telecommunication Network Service
- Assign VoIP numbers
- Set VoIP interconnection rate

2004 Plan

- Actively promote VOIP to Corporate market
- Develop VoIP VAS with higher tariff than local call (Homepage phone, Search phone, etc)
- Increase VoIP interconnection revenue

Bad Debt Expense Management

- Due to continuous economic downturn, number of overdue subscriber has increased since 2001
- KT reduced grace period from 6 to 3 months to control overdue subscriber issue

2004

- Reduce grace period further from 3 to 2 months
- Offer installment plan for large amount delinquent subscribers
- Intensify collection activities through both internal and external agents
- Share joint credit information management system among operators

(Unit: KRW billion)

	2002	2003
Revenue	11,378	11,575
Accounts Receivable	2,349	2,342
- 6 months or less	1,876	1,750
- 6 months to 1 year	203	235
- 1 to 3 years	262	349
- 3 years or more	8	8
Bad debt Expense	157	301
Write-off	49	92

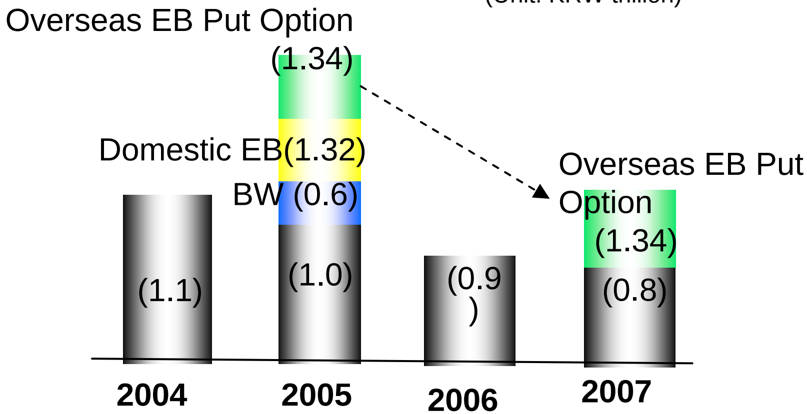
Provision Rate for Doubtful Accounts	
Overdue after termination	76.4%
Overdue by large amount	20.6%
Overdue by small amount	10.3%
Others	0.6%

EB Overhang & Financial Stability

- FCF after shareholder returns will be used for debt reduction including;
  - Reimbursement of installation deposits
  - Early retirement of EBs
    - 2002: KRW 225 billion, 2003: KRW 99.5 billion
  - Cash settlement for foreign EB conversion, exceeding foreign ownership limit of 49%
    - Current foreign ownership is at 47% (Possible cash settlement of 6.3 %)
  - Liquidity and credit rating improvement

Debt Redemption Profile

(Unit: KRW trillion)



Improving Credit Rating

	Current	Target
S&P Credit rating	**A-**	**A+**
EBITDA/Interest	10.8	Above 12.5
FFO/Debt	45%	Above 55%
Debt/EBITDA	1.93	Less than 2
Liability / Equity	187%	100%